CITY OF BERKELEY BOND MEASURE U

U Shall the measure authorizing issuance of $300,000,000 in general obligation bonds to fund acquisition and improvement of fire stations, emergency response facilities, parks and recreation facilities, and other public infrastructure and facilities, and increase climate resiliency, subject to independent oversight and audits, be adopted?	**BONDS YES** **BONDS NO**

Financial Implications: Average annual taxpayer costs over projected 40 years bonds are outstanding are approximately $22.14 per $100,000 assessed property value; generating approximately $15,200,000/year.

CITY ATTORNEY'S IMPARTIAL ANALYSIS OF BOND MEASURE U

This measure was placed on the ballot by the City Council of the City of Berkeley.

If the measure is approved by a two-thirds majority, the City would be authorized to issue $300 million of general obligation bonds to finance the acquisition and improvement of real property for public infrastructure and facilities ("Improvements").

The bonds would be issued to finance the infrastructure and facilities projects documented in the City's Capital Improvement Programs and the City's Vision 2050 Framework as part of the City's comprehensive approach to identifying and addressing the City's infrastructure and facilities needs. Improvements include but are not limited to emergency response facilities, parks and recreation facilities and infrastructure, accessibility improvements, seismic and climate resiliency upgrades, facility modernization and reliability improvements, and construction or improvement to other City infrastructure, including renovation, replacement, or reconstruction for public benefit.

The Improvements would be required to incorporate all-electric new construction and replacement of existing natural gas infrastructure with electric systems, consistent with the City's All-Electric Standards for Municipal Projects, except in limited circumstances where the City Council may grant exceptions due to infeasibility.

Proceeds of the bonds may be used to reimburse the City for expenditures on the Improvements that are paid before the date of execution, delivery or issuance of the bonds. The City may also have the opportunity to leverage federal, state, regional and county funds allocated for these needs if it issues the bonds. Funds may be used for public art integrated into the Improvements, consistent with existing City law permitting 1.75% of certain capital improvement project budgets to be used for this purpose.

All expenditures would be subject to an audit by the City Auditor at least once every three years to confirm that bond expenditures are consistent with the intent of the measure. Additionally, the City manager would be required to provide the City Council a comprehensive annual report of funds received from any bonded indebtedness authorized by the measure, funds expended, and the status of the Improvements.

The City's Parks, Recreation and Waterfront Commission would provide oversight on any Improvements related to parks, open space, greenery, pools, recreation centers, the Waterfront, and the City's camps. The City's Transportation and Infrastructure Commission would provide oversight on Improvements related to transportation and other public infrastructure.

Financial Implications:

The bonds would be payable from ad valorem taxes levied on real property in the City of Berkeley. The City estimates that the average annual taxpayer costs over the projected 40 years that the bonds would be outstanding are approximately $22.14 per $100,000 of assessed property value; generating approximately $15,200,000 per year. The City estimates that the highest tax rate that would be required to be levied is approximately $35 per $100,000 of assessed value, which the City projects would begin to apply in 2040-41.

s/ FARIMAH FAIZ BROWN
Berkeley City Attorney

TAX RATE STATEMENT OF BOND MEASURE U

An election will be held in the City of Berkeley (the "City") on November 3, 2026, to authorize the sale of up to $300 million in general obligation bonds of the City to finance the specific projects identified in the measure. If such bonds are authorized, the City expects to sell $100 million every five years commencing in 2027. Principal and interest on the bonds will be payable solely from the proceeds of ad valorem tax levies made upon the taxable property in the City. The following information is provided in compliance with Sections 9400-9404 of the California Elections Code. Such information is based upon the best estimates and projections presently available from official sources, upon experience within the City, and other demonstrable factors.

Based upon the foregoing and projections of the City's assessed valuation:

1. The best estimate of the average annual tax rate that would be required to be levied to fund the bond issue over the entire duration of the bond debt service, based on a projection of assessed valuations available at the time of filing of this statement is 2.2 cents per $100 (or $22 per $100,000) of assessed valuation of all property to be taxed. The best estimate of the final fiscal year in which the tax is anticipated to be collected is 2066/67. For purposes of this paragraph, the term "average annual tax rate" refers to the mean annual tax rate.
2. The best estimate of the highest tax rate that would be required to be levied to fund the bond issue, based on a projection of assessed valuations available at the time of filing this statement is 3.5 cents per $100 (or $35 per $100,000) of assessed valuation of all property to be taxed. The best estimate of the first year in which the highest tax rate will apply is 2040/41.
3. The best estimate of the total debt service, including the principal and interest, that would be required to be repaid if all the bonds are issued and sold is $610,000,000.

Voters should note that such estimated tax rates are specific to the repayment of bonds issued under this authorization and will be in addition to tax rates levied in connection with other bond authorizations approved or to be approved by the City or any other overlapping public agency.

Voters should note that the estimated tax rate is based on the ASSESSED VALUE of taxable property on Alameda County's official tax rolls, not on the property's market value. In addition, taxpayers eligible for a property tax exemption, such as the homeowner's exemption, will be taxed at a lower effective tax rate than described above. Property owners should consult their own property tax bills to determine their property's assessed value and any applicable tax exemptions.

Attention of all voters is directed to the fact that the foregoing information is based upon projections and estimates only, which amounts are not maximum amounts or durations and are not binding upon the City. The actual debt service amounts, tax rates and the years in which they will apply may vary from those presently estimated, due to variations from these estimates in the timing of bond sales, the amount of bonds sold and market interest rates at the time of each sale, and actual assessed valuations over the term of repayment of the bonds. The dates of sale and the amount of bonds sold at any given time will be determined by the City based on need for funds and other factors. The actual interest rates at which the bonds will be sold will depend on the bond market at the time of each sale. Actual future assessed valuation will depend upon the amount and value of taxable property within the City as determined by the Alameda County assessor in the annual assessment and the equalization process.

Dated: June 16, 2026

s/PAUL BUDDENHAGAN
City Manager, City of Berkeley

ARGUMENT IN FAVOR OF BOND MEASURE U

Keep Berkeley Safe and Vibrant. Yes on U and V keeps funds in Berkeley!

Berkeley is at a crossroads. As basic safety, infrastructure maintenance, and demands for City services rise, we need local funds to maintain the basic safety and quality of life our communities expect and deserve.

Your Yes on U and V votes keeps our taxpayer dollars in Berkeley to maintain critical services, with money the State cannot take, and makes Berkeley eligible for matching funds from other sources.

Measure U keeps Berkeley safe.

The impacts of climate change, including intense wildfires, puts lives and infrastructure at risk. Yes on U upgrades critical infrastructure to reduce pollution flowing to the Bay and addresses the dangers of flood and wildfire risk by renovating our 911 dispatch center, replacing unsafe fire stations, installing green infrastructure, and constructing seawalls to prepare for sea-level rise.

Yes on U keeps Berkeley's public infrastructure safe and accessible: maintaining sidewalks, curb ramps, and pathways; revitalizing deteriorating community/senior centers; and improving parks/open space for everyone's safety and usability, including upgrading deteriorating park restrooms.

Measure U is accountable to YOU, the Berkeley Taxpayer. A robust, public project list, City Auditor and citizen oversight, regular public audits, and public disclosure of funds will ensure funds are spent as promised.

Measures U and V were developed after months of community and stakeholder outreach and input, and are written to help maintain our quality of life, save the city money, and make us all safer.

"We are proud to join fiscal advocates such as Berkeley Auditor Jenny Wong, local business leaders, and wildfire safety organizers in supporting prudent measures for Berkeley's Future — vote YES on U & V" Dr. Sharon Goldbarb, President, League of Women Voters of Berkeley/ Albany/Emeryville

Learn more, visit safevibrantberkeley.com

s/ADENA ISHII
Mayor of Berkeley

s/DR. SHARON GOLDFARB
Co-President League of Women Voters Berkeley
Albany Emeryville

s/JOHN CANER
Local Business Leader

s/ERIC WEAVER
Neighborhood Wildfire Safety Organizer

s/JENNY WONG
Berkeley City Auditor

REBUTTAL TO ARGUMENT IN FAVOR OF BOND MEASURE U

Berkeley absolutely needs to invest in its aging capital infrastructure. The question is whether taxpayers need to authorize $300 million in *new* debt—costing roughly $550–600 million with interest — without a clear, prioritized plan.

In 2024, City leaders persuaded voters to approve Measure FF, one of the largest annual parcel taxes in history, promising "*More than double the funding for street paving, safety improvements, and environmental enhancements… twice as much funding to fix potholes…and twice as much money to win critical infrastructure grants." (2024 Voter Guide)*

Voters also approved a 2020 parcel tax to address wildfire risk and emergency preparedness.

With the generous taxes passed in 2020 and 2024, why is the City demanding yet another tax? Why can't they deliver on their past promises, within the means we've already approved?

Measure U isn't even a commitment to the entire list of projects. It does not tell voters which projects take priority, their lifecycle costs, when or even whether they will be built, or how they will be maintained.

Before assuming hundreds of millions of dollars in new debt, Berkeley should account for why existing infrastructure taxes are not sufficient, identify its highest priorities, establish realistic costs and schedules, and demonstrate how those investments will be maintained.

Berkeley needs infrastructure investment. What it does not need is another enormous blank check for redundant purposes without a realistic plan for spending it.

Vote NO.

s/DONNA DEDIEMAR
neighborhood activist and former small business owner

s/PAUL MATHEW
Building Decarbonization Consultant

s/MCKINLEY CRESPO
Small Business Owner

s/STEVE ROBEY
Retired IT Consultant

ARGUMENT AGAINST BOND MEASURE U

Measure U borrows $300 million with no comprehensive capital plan, no binding commitment to specific projects, and no budget for maintaining new facilities. Higher interest rates make the total costs $550-600 million. High inflation and competing spending priorities, with no blueprint for success, risks taking on enormous debt without addressing Berkeley's most pressing infrastructure needs.

Borrowing makes sense when it finances high-priority capital projects that serve residents for decades. Council identified 35 **potential** projects to fund with bond revenues, but did not prioritize or legally commit to any of them.

This list could change any time and all 35 projects are unlikely to be funded – it's a $300 million blank check. Berkeley's procurement guidelines have allowed projects to double in cost. Bond Measure T1 (2016) projects cost about 15% more than originally budgeted.

Bonds should finance long-lived capital assets. This measure mixes in operating costs and routine maintenance that should be funded through special or General Fund recurring revenue. Examples include:

- $14 million for sidewalk repairs, even though voters approved Measure FF in 2024 to fix Berkeley's sidewalk and pathway backlog.
- $6.7 million for seismic improvements to the Old City Hall, despite needing more than $100 million in repairs.
- $25 million for King Pool, despite longstanding concerns about the unequal distribution of recreational facilities between North and South Berkeley.

Berkeley residents devoted countless volunteer hours through 2025 to develop Vision 2050, a thoughtful comprehensive long-term strategy for the City's capital needs. Yet its recommendations have not been implemented or meaningfully incorporated into Measure U.

Before asking taxpayers to commit up to $550-600 million, the City should establish clear priorities, make binding commitments to bonafide capital projects, and present a credible plan for maintaining new facilities.

Berkeley can do better. Vote NO on Measure U.

s/ISABELLE GASTON
Assistant Treasurer, Affordable Berkeley

s/DONNA DEDIEMAR
Neighborhood Activist

s/MICHAEL KATZ
Writer and Cyclist

s/JOSHUA GLATT
Software engineer and composer

s/STEPHEN R. TRACY
Retired Public School Teacher

REBUTTAL TO ARGUMENT AGAINST BOND MEASURE U

Vote YES on Measures U & V to maintain Berkeley's safety and vibrancy, with fiscally accountable approaches.

Berkeley faces a $1.5 BILLION infrastructure backlog. Measure U's Infrastructure Plan was developed after community feedback from hundreds of Berkeley residents.

Vision 2050 calls for Berkeley to continuously adapt infrastructure for evolving fire safety, traffic safety, and climate resilience needs, ensuring a safe and sustainable future for all. Measure U will address the urgent infrastructure upgrades now, before they become more expensive in the future.

The official Plan (www.tinyurl.com/2026BerkBond) safeguards Berkeley's infrastructure from flooding and wildfires, and:

-Upgrades critical fire stations and fire training infrastructure

-Implements ADA compliance for sidewalks and curb ramps

-Upgrades aging community centers such as Frances Albrier Community Center at San Pablo Park

-Provides infrastructure upgrades for every Berkeley neighborhood

Berkeley has a strong record of leveraging grants and other funding with bond revenues. Measure U would continue this strong tradition — unlocking matching funds for fire safety, climate resilience, and accessibility infrastructure Berkeleyans value.

YES on U is endorsed by the League of Women Voters, Berkeley Fire Fighters IAFF 1227, and City Auditor Jenny Wong because it includes independent oversight, regular public audits, and public disclosure of all spending.

"Any suggestion that Vision 2050 recommendations are not the basis for Measure U, is false. Vote YES on U to invest in our infrastructure now and avoid costly emergencies in the future." *Gordon Wozniak - Former Councilmember/ Mayor's Vision 2050 Task Force Member*

Vote YES on U & V!

s/ADENA ISHII
Mayor

s/DR SHARON GOLDFARB
Co-President League of Women Voters of Berkeley Albany Emeryville

s/HENRY C. LEVY
Alameda County Treasurer

s/ERIC WEAVER
Neighborhood Wildfire Safety Organizer

s/JOHN CANER
Local Business Leader

FULL TEXT OF BOND MEASURE U

FULL TEXT OF MEASURE TO BE SUBMITTED TO THE VOTERS AUTHORIZING THE CITY OF BERKELEY TO ISSUE GENERAL OBLIGATION BONDS TO FINANCE THE ACQUISITION OR IMPROVEMENT OF REAL PROPERTY FOR PUBLIC INFRASTRUCTURE AND FACILITIES

Be it ordained by the people of the City of Berkeley as follows:

Section 1. Findings.

WHEREAS, the City has undertaken a comprehensive review of its infrastructure and facilities needs, and as documented in the City's Adopted Capital Improvement Program for Fiscal Years 2025-2029, identified over $1.5 billion in infrastructure and facilities needs, with the proposed Capital Improvement Program for Fiscal Years 2027-2031 identifying over $2.1 billion in infrastructure and facilities needs (such Programs as updated from time to time and Capital Improvement Programs for subsequent time periods are referred to herein as the Capital Improvement Programs"); and

WHEREAS, the City's Vision 2050 Framework is a comprehensive plan to build, upgrade, and repair Berkeley's infrastructure and facilities to be more sustainable, safe, and resilient and to meet the needs of future generations, including addressing climate and environmental challenges; and

WHEREAS, existing funds and funding sources are inadequate for these infrastructure and facilities needs; and

WHEREAS, the City faces a projected $31 million General Fund deficit in the 2027 fiscal year and $29 million deficit in the 2028 fiscal year; and

WHEREAS, the City is authorized to issue general obligation bonds to finance municipal improvements pursuant to certain provisions of the California Government Code, including Article 1, commencing with Section 43600, of Chapter 4 of Division 4 of Title 4 or Article 4.5, commencing with Section 53506, of Chapter 3 of Part 1 of Division 2 of Title 5 (each, the "Bond Law"); and

WHEREAS, under the Bond Law and Chapter 7.64, the City intends to issue general obligation bonds ("Bonds") to finance the acquisition or improvement of real property for public infrastructure and facilities ("Improvements"), as further described in Section 2 below; and

WHEREAS, the issuance of the Bonds to finance the infrastructure and facilities needs documented in the City's Capital Improvement Programs and the City's Vision 2050 Framework is part of the City's comprehensive approach to identifying and addressing the City's infrastructure and facilities needs, and the Improvements are related as a result of such approach; and

WHEREAS, the Improvements will include all-electric new construction and the replacement of existing natural gas infrastructure with electric systems, in alignment with the City's All-Electric Standards for Municipal Projects, except in limited circumstances in which City Council grants an exception; and

WHEREAS, the Improvements may include any public art integrated into the Improvements consistent with Berkeley Municipal Code Chapter 6.13; and

WHEREAS, the City may have the opportunity to leverage Federal, State, regional and County of Alameda ("County") funds allocated for these needs if it issues the Bonds to address these needs; and

WHEREAS, fiscal accountability protections including public disclosure of all spending and regular audits help ensure funds will be spent as promised; and

WHEREAS, funding from the Bonds should be guided by the City's non-exhaustive list of proposed projects identified through the public input process carried out by the City in 2026 for the purpose of identifying potential projects to be funded by bond revenues, provided that projects not identified in that process shall also be eligible provided they consist of the acquisition or improvement of real property for public infrastructure and facilities; and

WHEREAS, by law, all funds must remain under local control in the City and cannot be taken away by the State or the County or used for other purposes; and

WHEREAS, the City Council recognizes the importance of ensuring adequate maintenance funding from existing sources for Improvements financed by the Bonds and not supplanting existing City infrastructure funding with proceeds of the Bonds; and

WHEREAS, United States Income Tax Regulations section 1.150-2 provides generally that proceeds of tax-exempt debt are not deemed to be expended when such proceeds are used for reimbursement of expenditures made prior to the date of issuance of such debt unless certain procedures are followed, one of which is a requirement that prior to the payment of any such expenditure, the issuer declares an intention to reimburse such expenditure; and

WHEREAS, it is in the public interest and for the public benefit that the City declares its official intent to reimburse certain of the proposed expenditures referenced herein; and

WHEREAS, proceeds from the sale of the Bonds will be used to finance the Improvements, and all expenditures will be subject to regular audits by the City Auditor; and

WHEREAS, the City Council's authority to grant exceptions to the all-electric construction and electrification requirements is a discretionary act, and neither the granting nor the denial of any such exception shall give rise to any claim or cause of action in any court.

Section 2. Object and Purpose of Bonds.

This measure (the "Measure") authorizes the issuance of the Bonds, the object and purpose of which is to finance, by the City of Berkeley or a third party, as applicable, the acquisition or improvement of real property for the Improvements. The Improvements include, but are not limited to:

- Emergency (including Fire Department) response facilities;
- City's parks and recreation facilities and infrastructure;
- Accessibility improvements in the City;
- Seismic and climate resiliency upgrades;
- All-electric new construction and the replacement of existing natural gas infrastructure with electric infrastructure, except when an exception is approved by City Council in alignment with the City's All-Electric Standards for Municipal Projects;
- Facility modernization and reliability improvements; and
- Construction of or improvements to other City infrastructure, including renovation, replacement, or reconstruction for public benefit.

The City Council's authority to grant exceptions to the all-electric construction and electrification requirements is a discretionary act, and neither the granting nor the denial of any such exception shall give rise to any claim or cause of action in any court.

The Improvements (as defined above) will be completed as needed, and each is assumed to include its share of costs, including planning, program management and construction costs. The final cost of each Improvement will be determined as real property is purchased, plans are finalized, construction bids are awarded, or projects are completed. In addition, certain acquisition or improvement funds are expected from non-bond sources, including funds which have not yet been secured. Therefore, the City Council cannot guarantee that the Bonds will provide sufficient funds to allow completion of all needed Improvements.

Proceeds of the Bonds may be used to reimburse the City for expenditures on the Improvements that are paid before the date of execution, delivery or issuance of the Bonds.

Section 3. Estimated Cost of Improvements.

The estimated cost of the Improvements to be funded by the Bonds is $300,000,000.

The estimated cost of the Improvements includes legal and other fees, the cost of printing the Bonds and other costs and expenses (including auditing costs), in each case incidental to or connected with the authorization, issuance or sale of the Bonds. The cost of the Improvements includes planning, program management and construction costs.

Section 4. Principal Amount of Bonds.

The aggregate principal amount of Bonds to be issued shall not exceed $300,000,000.

Section 5. Maximum Interest Rate.

The maximum rate of interest to be paid on the Bonds shall not exceed the maximum interest rate permitted by law at the time the Bonds are issued.

Section 6. Accountability Requirements.

The following accountability measures apply to the issuance of Bonds pursuant to this Measure:

A. The specific purpose of the Bonds is to finance the acquisition or improvement of real property for the Improvements; and

B. The proceeds from the sale of the Bonds will be used only for the purposes specified in this Measure, and not for any other purpose; and

C. The proceeds of the Bonds will be deposited into an account to be created and held by the City; and

D. The proceeds from the sale of the Bonds may be used to reimburse the City for amounts advanced from the general fund or other funds or accounts for Improvements, when such purchases are made prior to the availability of Bond proceeds; and

E. As part of the process to adopt a budget, the City Manager shall provide to the City Council a comprehensive annual report of funds received from any bonded indebtedness authorized by this Measure, funds expended, and the status of the Improvements.

F. The following commissions or their successors shall provide oversight by reporting to the City Council on an annual basis regarding projects funded by the Bonds and Bond expenditures, whether those Bond expenditures are consistent with the purposes of the Bonds, and recommendations on projects proposed to be funded by the bond and bond expenditures:

1. The Parks, Recreation, and Waterfront Commission shall provide oversight on Infrastructure Improvements related to properties and facilities identified in Municipal Code Section 3.26.040.A, including all parks, recreation, and waterfront improvements.
2. The Transportation and Infrastructure Commission shall provide oversight on the Infrastructure Improvements related to transportation and other public infrastructure.

G. All expenditures will be subject to an audit by the City Auditor at least once every three years to confirm that Bond expenditures are consistent with the intent of this Measure.

Section 7. Severability

If any word, phrase, sentence, part, section, subsection, or other portion of this measure, or any application thereof to any person or circumstance is declared void, unconstitutional, or invalid for any reason, then such word, phrase, sentence, part, section, subsection, or other portion, or the prescribed application thereof, shall be severable, and the remaining provisions of this measure, and all applications thereof, not having been declared void, unconstitutional or invalid, shall remain in full force and effect. The People of the City of Berkeley hereby declare that they would have passed this measure and each section, subsection, sentence, clause and phrase thereof, irrespective of the fact that any one or more sections, subsections, sentences, clauses or phrases had been declared invalid or unconstitutional.